

Downward breakouts also show those near the yearly high underperforming those in the other two buckets. It suggests people should avoid momentum trading this chart pattern and focus on bottom fishing for candidates.

Throwbacks and pullbacks. Throwbacks and pullbacks occur almost two-thirds of the time, and it takes stocks less than 2 weeks to return to the breakout price.

I didn't see any significant performance difference for patterns with and without throwbacks or pullbacks. With other chart patterns, if a throwback or pullback occurs, performance suffers (on average).

Price resumes the upward move 71% of the time (which is quite good) and the downtrend 55% of the time (which needs improvement, but it's not bad).

Gaps. Most of the time (for other chart patterns), breakout day gaps help performance but we see that behavior in this pattern only after a downward breakout.

The rumors you've heard are true: [Table 10.5](#) shows size-related statistics.

Height. Tall patterns perform substantially better than short ones. How do you use this result? Compute the pattern's height from the price of the top trendline to the last touch of the lower trendline (the lowest low in the pattern). Divide the difference by the breakout price. If the result is above the median shown in the table, then you have a tall pattern; below the median means it is a short one. Invest only in tall patterns unless you feel confident of your assessment.